ABC News (analysis by Tom Crowley; federal politics live, 4 Nov 2026)
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Analysis: after years of inflation pain, the political debate over the economy needs a reset

> After the RBA's fifth rate hike of 2026, Labor and the Coalition returned to familiar arguments about who is to blame for inflation. ABC economics reporter Tom Crowley argues both sides' scripts are worn out, and that only a bold policy shift may break the cycle.

WHAT HAPPENED

- Treasurer Jim Chalmers has held **41** press conferences after RBA decisions: **17 hikes, 21 holds and 3 cuts**.
- Chalmers blames **external shocks**, namely the Middle East war and a "capital-heavy" AI investment boom. Crowley says these aren't the government's fault, but some new spending decisions were expensive and avoidable.
- Opposition Leader Angus Taylor says government spending is **driving demand** and must be cut. The PM cited the Final Budget Outcome figure of spending at **26.9% of GDP** and said savings will come in December's **MYEFO**.
- Labor's riskiest move is the Budget's changes to **capital gains tax, negative gearing and trusts**. Chalmers says he has "lost some paint" over them.
- The Coalition backs **indexing tax brackets** but has ruled out raising the GST.

4.85%
Cash rate after the 3 Nov hike, an 18-year high

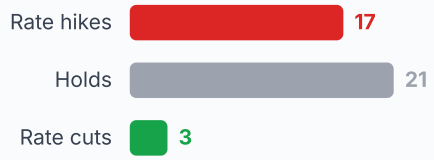
26.9%
Government spending as a share of GDP

41
Post-RBA press conferences held by Chalmers

Demand-pull inflation: inflation caused by aggregate demand growing faster than the economy's capacity.
Policy mix: how fiscal and monetary policy work together. If the Budget adds to demand, the RBA may need higher rates.

BAR CHART

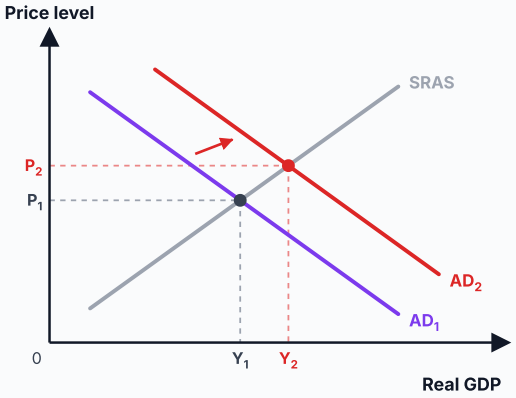
Chalmers' RBA-day press conferences by decision



Rate hikes make up **17 of 41** RBA decisions Chalmers has responded to as Treasurer. Each one restarts the political fight over whether government spending or global shocks are to blame.

DIAGRAM

The Coalition's argument: demand-pull inflation



If strong public and private spending shifts aggregate demand from **AD_1 to AD_2**, the price level rises from **P_1 to P_2**.

The Government argues instead that supply shocks (oil, the Middle East war) explain much of the inflation, which would be shown as SRAS shifting left. Both views can be partly right.

Exam angle: a strong answer weighs **both** causes and explains why the policy mix matters: if fiscal policy adds to demand, monetary policy has to work harder.

Syllabus link: Topic 4 – economic policies and management: fiscal policy (the Budget's stance, MYEFO, tax reform), the policy mix with monetary policy, and the political limitations of economic policy.

Try this
Evaluate the claim that fiscal policy is "working against" monetary policy in 2026. Explain one political and one economic limitation on using the Budget to fight inflation. **(6 marks)**

Sources: abc.net.au/news/2026-11-04/can-anything-break-politics-out-of-its-inflation-doom-loop/107343140 · abc.net.au/news/2026-11-04/federal-politics-live-blog-angus-taylor-rates/107342840 · rba.gov.au/media-releases/2026/mr-26-30.html

Diagrams are illustrative, not to scale